

Northwind Robotics, Inc.

Annual Report — Fiscal Year 2025

(Sample document for testing purposes only — not a real company)

Financial Performance Overview

Northwind Robotics reported total revenue of \$482 million for fiscal year 2025, an increase of 18% compared to \$409 million in fiscal year 2024. Net income rose to \$56 million, up from \$41 million in the prior year, driven primarily by strong demand for the company's warehouse automation product line. Operating margin improved to 14.2%, compared to 12.1% in the prior fiscal year, reflecting improved manufacturing efficiency and lower component costs.

Revenue by Segment (\$ millions)

Segment	FY2024	FY2025	Growth
Warehouse Automation	210	268	+27.6%
Industrial Robotics	142	156	+9.9%
Service & Support	57	58	+1.8%
Total	409	482	+17.8%

Operating cash flow for fiscal year 2025 was \$71 million, compared to \$52 million in fiscal year 2024, an increase driven by improved working capital management and higher collections from enterprise customers. Capital expenditures totaled \$23 million, primarily related to expansion of the company's Ohio manufacturing facility.

Risk Factors

Supply Chain Dependency

The company relies on a limited number of suppliers for critical robotics components, including precision motors and sensor arrays. A disruption at any single supplier could materially affect production schedules.

Competitive Pressure

The warehouse automation market has attracted significant new entrants over the past two years, and increased competition could pressure pricing and market share.

Customer Concentration

The company's three largest customers accounted for approximately 34% of total revenue in fiscal year 2025. Loss of any of these customers could have a material adverse effect on results of operations.

Regulatory Risk

Changes in trade policy or tariffs affecting imported electronic components could increase the company's cost of goods sold.

Talent Retention

The company competes for skilled robotics engineers in a tight labor market, and the loss of key technical personnel could delay product development timelines.

Management Discussion and Analysis

Management attributes the fiscal year 2025 revenue growth primarily to expanded adoption of the company's autonomous mobile robot (AMR) product line among mid-sized logistics providers, a market segment the company began targeting in fiscal year 2023. The company also completed the acquisition of SortLogic Systems in March 2025 for \$34 million, adding computer vision capabilities to its product portfolio.

Management believes gross margin will continue to benefit from economies of scale as production volumes increase at the Ohio facility, which reached full operational capacity in the fourth quarter of fiscal year 2025.

Fiscal Year 2026 Guidance

For fiscal year 2026, the company expects total revenue in the range of \$555 million to \$575 million, representing growth of approximately 15% to 19% over fiscal year 2025. The company expects operating margin to expand to between 15% and 16%, and plans capital expenditures of approximately \$30 million, primarily to fund a second manufacturing line at the Ohio facility. Management expects the SortLogic acquisition to contribute approximately \$18 million in incremental revenue in fiscal year 2026.